

Multiple Choice

1. **Answer:** B

Options: A) the price level rises for two consecutive quarters; B) the price level rises and output falls; C) the price level stays the same and output increases; D) the price level stays the same and output decreases

Note: Stagflation is characterized by a simultaneous rise in the price level, indicating inflation, and a decline in economic output, reflecting stagnation in the economy.

2. **Answer:** A

Options: A) One can have comparative advantage in producing both goods.; B) One can have both an absolute advantage and a comparative advantage in producing x.; C) One can have absolute advantage and no comparative advantage in producing x.; D) One can have comparative advantage and no absolute advantage in producing x.

Note: The correct answer is based on the principle of comparative advantage, which states that an individual or entity can only have a comparative advantage in one good over another, as it requires specializing in the production of the good for which they have a lower opportunity cost.

3. **Answer:** D

Options: A) Horizontal; B) Convex to the origin; C) Concave to the origin; D) Vertical

Note: A vertical long-run Phillips curve indicates that in the long run, there is no trade-off between inflation and unemployment, as the economy operates at full-employment output where any increase in inflation does not affect the natural rate of unemployment.

4. **Answer:** B

Options: A) Differentiated products; B) Patents and copyrights; C) Possibility of profit in the short run; D) Deadweight loss exists

Note: Patents and copyrights provide exclusive rights to produce or sell a product, which is a characteristic of monopolies that restricts competition, while monopolistic competition involves many firms with differentiated products that do not have such exclusive protections.

5. **Answer:** A

Options: A) a decrease in the demand for coffee-brewing machines.; B) a persistent shortage of coffee in the market.; C) an increase in consumer surplus due to lower coffee prices.; D) an increase in the demand for coffee.

Note: A price floor for coffee raises the price of coffee, which can lead to a decrease in quantity demanded for coffee-brewing machines, as consumers may buy less coffee and therefore require fewer machines to brew it.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: In economics, total revenue is calculated by multiplying the price of a good or service by the quantity sold, reflecting the total income generated from sales.

7. **Answer:** True

Options: A) True; B) False

Note: The Consumer Price Index (CPI) is indeed calculated monthly by the Bureau of Labor Statistics to measure changes in the price level of a basket of consumer goods and services over time.

8. **Answer:** False

Options: A) True; B) False

Note: Economic growth is measured by the increase in the production of goods and services in an economy, typically assessed through metrics like Gross Domestic Product (GDP), rather than merely the number of businesses present.

9. **Answer:** True

Options: A) True; B) False

Note: An expansionary monetary policy lowers interest rates, which encourages borrowing and spending, leading to increased consumer demand for imported goods that often outpaces the growth of exports, thereby worsening the balance of trade.

10. **Answer:** False

Options: A) True; B) False

Note: The opening of a new military base abroad does not count toward the U.S. GDP because GDP measures the value of goods and services produced within a country's borders, and a base located outside the U.S. does not contribute to domestic economic activity.

Long Form Response

11. **Answer:** Seasonal unemployment refers to job loss that occurs at certain times of the year when demand for certain types of work decreases. Theo's experience of losing his job at the public swimming pool during winter exemplifies this concept, as the demand for lifeguards and pool staff diminishes when the weather turns cold and swimming activities decline. This type of unemployment can have broader implications for the economy, as it may lead to fluctuations in consumer spending and can affect the overall stability of local businesses. Seasonal unemployment is often temporary, but it highlights the challenges workers face in finding stable, year-round employment. Understanding this concept helps us recognize the cycles of employment in different industries and the need for seasonal workers to adapt to these changes.

Note: correct because it clearly defines seasonal unemployment, uses Theo's job loss as

a relevant example, and connects this specific instance to potential economic impacts, such as decreased consumer spending during off-peak seasons.

12. **Answer:** Rising price levels can significantly affect the effectiveness of government expansionary fiscal policy and the resulting spending multiplier. When the government increases spending or cuts taxes to stimulate the economy, the idea is that this will lead to more consumer spending and investment. However, if prices are rising, consumers may be less likely to spend additional money because their purchasing power decreases, which can dampen the intended effects of the fiscal policy. Additionally, high inflation can lead to increased interest rates, making borrowing more expensive and reducing the overall impact of the government's efforts. Consequently, the spending multiplier, which measures how much economic activity is generated from initial spending, may be weaker in an environment of rising prices.

Note: Rising price levels can reduce consumers' purchasing power, leading to decreased spending and diminishing the impact of government expansionary fiscal policy and the associated spending multiplier.